

Wildfires will expose limits of environmental governance and market frameworks

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【メール原文】

Governments will address wildfire symptoms, not causes, as structural emissions reform remains out of reach. The severe toll wildfires take on human health, public infrastructure, housing, and the environment will compel governments to act swiftly, driven by public and media pressure. As of July, wildfires have burned more than 3.4 million acres across the US, France has more than doubled its total 2025 burned area, and Canada's wildfires have charred an area larger than Belgium; El Niño's high temperatures and low rainfall will sustain this trajectory. Fires driven by a changing climate cannot be effectively addressed through forestry policy alone. Meaningful solutions require broader changes to energy systems and emissions, alongside more effective forest management. Such changes remain unlikely as countries prioritize economic growth and manage geopolitical uncertainty.

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Wildfires are on track to rival agriculture as the leading driver of global forest destruction—an unprecedented shift that is unlikely to reverse.

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Wildfire-driven diplomatic disputes will likely fade with the fire season, leaving no durable cross-border agreements and deepening G-Zero fragmentation.

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Forest loss will erode the forest carbon storage capacity that corporate sustainability strategies depend on, but open new demand for data-driven insurance products.

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Severe wildfires are generating cross-border diplomatic tension that will not translate into durable policy. Recent Canadian wildfires have fueled friction with the US, as cross-border smoke has prompted President Donald Trump to threaten retaliatory tariffs. Similar disputes have precedent: Indonesian peatland fires in 2023 strained relations with Malaysia and triggered discussions on updating the 2002 ASEAN Agreement on Transboundary Haze. Singapore went further, passing its own law in 2014 to penalize Indonesian companies for wildfire smoke, fining them for each day of haze.

Wildfire-driven diplomatic tensions will not outlast the fire season. Transboundary haze has been a perennial flashpoint among neighboring states for decades. Current disputes reflect political posturing, serving as a channel for broader geopolitical tensions. The seasonal nature of these flare-ups makes meaningful action on cross-border wildfire impacts unlikely.

Accelerating forest destruction will likely undermine carbon credit markets and corporate sustainability strategies. Forest loss will likely reduce forest carbon sequestration capacity and degrade nature co-benefits, weakening corporate sustainability strategies across compliance and voluntary carbon markets (VCM). California's wildfires are destroying forests faster than crews can replant them. Research indicates that carbon offset buffers—land reserves set aside to cover unexpected carbon losses—would need to be six times their current size to account for wildfires, among other risks. Both VCM forestry projects and Paris Agreement frameworks fail to account for wildfire-related carbon emissions, and tree-planting programs may counterproductively increase wildfire hazard in drought-prone regions.

Severe wildfires will likely prevent countries from meeting emissions targets. Under the EU's land use, land-use change, and forestry (LULUCF) regulation, member states carry mandatory carbon removal targets for 2030 across key land use sectors, including forestry. Recent fires will likely prompt France and Spain to invoke the LULUCF “natural disturbance” mechanism, an emergency brake that eases national carbon sink obligations when wildfires or pests cause unforeseeable losses. This comes as Europe's broader commitment to emissions reductions faces headwinds.

Wildfire emissions have traditionally been excluded from national emissions accounting, deemed too unpredictable and largely beyond human control. Their rising frequency and severity now threaten to derail climate progress and may force the creation of a dedicated category in global emissions frameworks—one that current frameworks are not designed to absorb.

Frequent wildfires will likely create openings for the insurance and technology sectors. Shifting climate conditions are reshaping how wildfire risk is priced and how forests are valued, with investors updating their risk models well ahead of government policy. Advances in AI and nature technology are enabling more precise prediction and real-time tracking tools that can be bundled with insurance products. This risk opens partnership opportunities between insurers, AI surveillance companies, and grid strengthening companies.

California-based tech firms already partner with US insurers to provide AI-powered, property-level wildfire risk scores that support underwriting. Parametric wildfire products are gaining traction among reinsurers, with expanded coverage for forestry assets in fire-prone regions. This points to a growing demand for data-driven insurance solutions.

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